

Chapter 2



BUSINESS – THE CHOICE OF ENTREPRENEURS



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Chapter outlines

- Define Business and Its kinds
- Small business, its advantages & disadvantages
- Five key commercial functions of business
- Why do businesses fail?
- Etc ,..



Define Business and its kinds

What is Business ?

- All activities involved in the production and distribution of goods and services for profit to satisfy consumer needs and wants.

What is Business ?

- A business is an organized, ongoing economic activity where individuals or groups provide products or services to meet human needs, with the primary goal of earning a profit. It involves an exchange for money and serves a societal need, whether for-profit or for a non-profit cause.

What is Business ?

■ Businesses Risks and Profits

Profits = Revenues — **Business costs**



Many types of Businesses

- **Size** : Small, medium and Large
- **Industries**:
shops, retailers, restaurants, hotels,
banks, travels, e-business, others.
- **Geographical boundaries**
- **Legal aspects, etc.**

**What does knowing the Types of businesses
benefit you as an entrepreneur?**

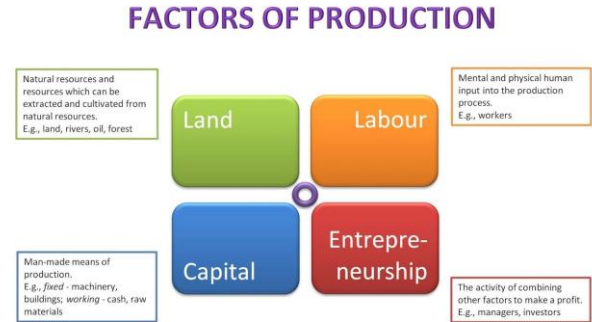




The Four Factors of Production

The Factors of production

- Land
- Labors
- Capital
- Entrepreneurship





Small business and its characteristics



Definition of Small Business

- Small business is a business that is independently owned and operated, is not dominant in its field of operation.



Characteristics of Small Businesses

- Independently managed
- Owned by individual or small group
- Limited Resources
- Not a dominant company
- Based locally

Its Advantages & Disadvantages

■ Advantages

- Flexibility
- React more quickly
- Serve specialized Markets

■ Disadvantages

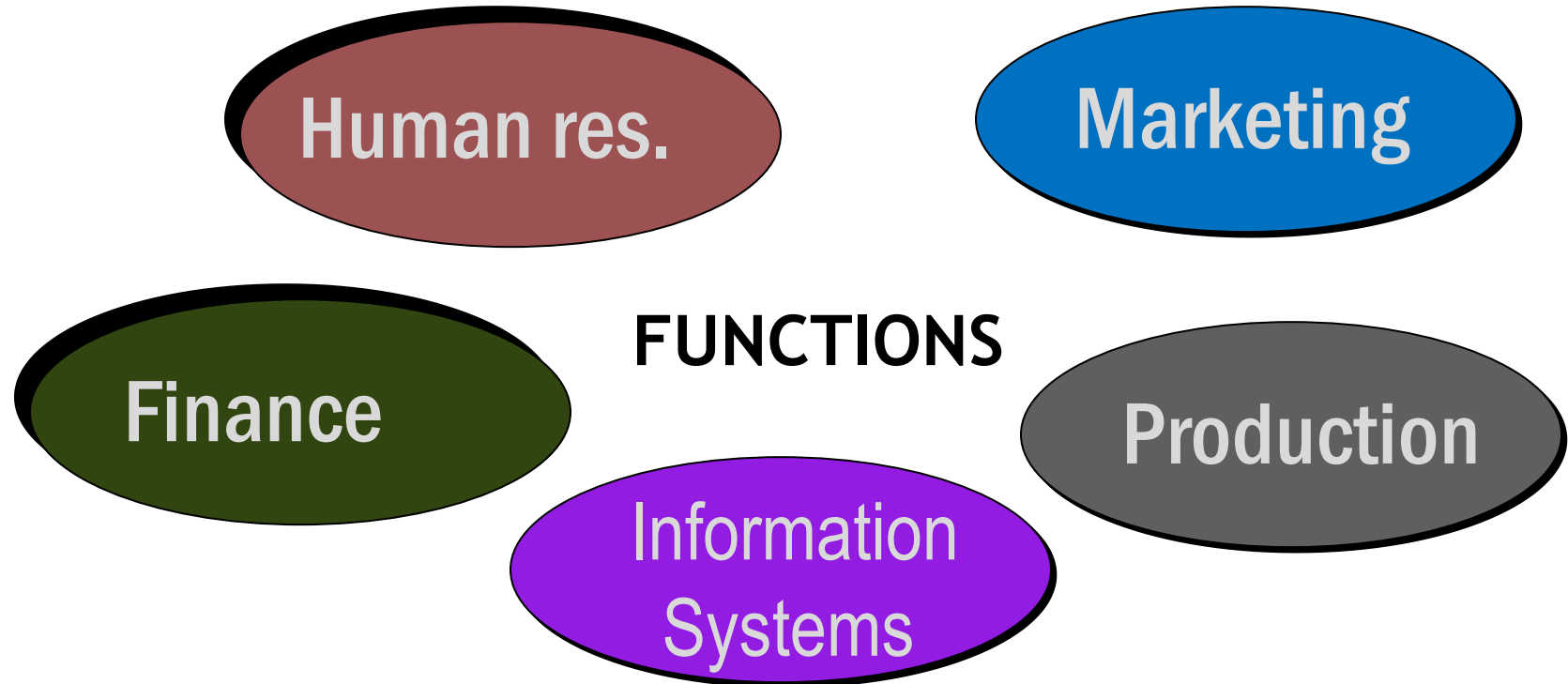
- Limited resources
- Difficulty in obtaining financing, technology and other resources
- Limited managerial skills
- High owner commitments



Five key functions of Business



Five Key Functions of Business



Key Functions of a Business

■ Marketing

- Study the market and design more valued products or services, set prices, promote and deliver to customers.

■ Human Resource Management

- Plan, recruit, train and motivate people.

■ Production

- Plan, find the ways to transform inputs into outputs efficiently.

■ Finance

- Plan, obtain and use funds for business operations.

■ Information Systems

- Use information technology, people, and procedures that work together to provide appropriate information to the firm's employees so they can make business decisions.



Why does Business fail ?

Why does Business Fail?

- Inexperience or just a wannable entrepreneur
- Under-financed and cash crunch
- Inadequate sales volumes
- High operating costs



Why does Business Fail? /cont'

- Unable to meet and beat competition
- No business or other credible plan or goals
- Too much money taken out
- Lack of control and criminal activity
- Poor location





New shapes of Business : E-Business

E-Business

- The term "e-business" was coined by IBM's marketing and Internet team in 1996.



These **e-business processes** include buying and selling goods and services, servicing customers, processing payments, managing production control, collaborating with business partners, sharing information, running automated employee services, recruiting; and more.

Benefits & Challenges of e-Business



eCommerce Business Model

Electronic commerce, or eCommerce, is a business model that lets businesses and consumers make purchases or sell things online.



Major eCommerce business models

- Business to Consumer (B2C)
- Business to Business (B2B)
- Business to Government (B2G)
- Business to Business to Consumer (B2B2C)
- Consumer to Consumer (C2C)
- Consumer to Business (C2B)



